

GLOSSARY

For handy reference, here is a **Glossary** of the terms plus many of the most common synonyms.

Accounts Payable. Line item under **Current Liabilities** in the Liabilities section of a **Balance Sheet**. This is the amount a business owes to its vendors and suppliers for goods or services received but not yet paid for.

Accounts Receivable. Line item under **Current Assets** in the Asset section of a **Balance Sheet**. This is the amount a business is owed by customers for goods or services sold. Accounts Receivable are an I.O.U. from your customers to the business.

Accrual. A standard accounting practice for most businesses. Accrual accounting matches the **Revenue** generated by a sale with the **Expenses** or costs of providing that sale in the same Time Period. For example, if a sale occurs during a certain month, the total amount of that sale and all expenses related to the sale are recorded on the **Income Statement** for that month. This method provides a more accurate picture of the business' financial position. Note that the sale is recorded regardless of whether or not the business has collected the cash. Accrual accounting matches transactions when they occur and not necessarily when cash is exchanged

Amortization. A **non-cash** line item on an **Income Statement**. Similar to **Depreciation**. **Amortization** deals with only **Intangible Assets**, while **Depreciation** deals with only **Tangible Assets**.

Annualize. A partial year's financial results multiplied by a number which will provide the user with a hypothetical 12 months financial outlook. For example, if a business earned 1,000 in one month, annualizing this result would be 12,000 for a year.

Asset Turnover. **Sales** divided by **Average Assets**. A measure of a business' effectiveness in generating **Sales** from its **Assets**. Also known as Marketing Leverage.

Assets. One of three major sections of the **Balance Sheet**. **Assets** are things and stuff of the business which have current or future value. Assets may be tangible or intangible. The most important **Assets** on most business' **Balance Sheet** are **Cash, Accounts Receivable, Inventory, and Fixed Assets**.

Assets, Average. The average value of a business' **Assets** during a given Time Period, calculated by adding **Assets** from the beginning of that Time Period to the **Assets** at the end of the Time Period and dividing by two. Average Assets are generally used in many financial calculations instead of Ending Assets because the Average is considered to be more reflective of the true state of the business; however, there is no rule against using Ending Assets.

Assets, Fixed. Tangible, significant items of value, such as buildings, vehicles, and machinery, used in the operations of the business. Fixed Assets are also known as **Property, Plant, and Equipment (PPE)** and are recorded on the **Balance Sheet**.

Assets, Growth Rate. Measures the growth rate of Assets over a specific Time Period and is reported as a percentage.

Assets, Intangible. An Asset of the business that cannot be seen or touched. Examples include patents, brand names, intellectual property and **Goodwill**.

Assets, Tangible. Items such as buildings, machinery and property. These items are recorded on the **Balance Sheet** under the **Asset** section. **Tangible Assets** do not include **Cash, Receivables, Inventory, Goodwill** or **Other Assets**.

Assets-to-Equity Ratio. Total **Assets** divided by Total **Equity**. It is often a measurement of a business' use of debt to finance the business. A higher **Assets-to-Equity Ratio** indicates relatively higher **Liabilities (Debt)** which may be undesirable. Also known as **Financial Leverage** or the **Equity Multiplier**.

Balance Sheet. One of the three key **Financial Statements** used to indicate a business' financial health and performance. The **Balance Sheet** is a "snap-shot" at a given point in time and always shows a company's **Assets** (Things and Stuff), **Liabilities** (the amount Owed), and **Equity** (the amount Owned). A Balance Sheet is also known as **Statement of Financial Position**.

Best in Class. The "Best in Class" designation is simply the best comparative "%" or "Days" financial results for each identified key financial category looking at all the prior time periods of your business. Best in Class is a Trend Analysis comparison tool which indicates the best performance a business has achieved in a particular category by comparing your results in all time periods and identifying the "Best" achieved thus far.

Business Intelligence ("BI") Score. A monetary amount that shows how much potential **Operating Cash** the business failed to realize because of management's inability to control **Expenses**, convert **Net Income** into **Operating Cash Flow** and control selected **Balance Sheet** categories to the Best in Class levels during selected Time Periods.

Capital Expenditure. The amount spent to acquire **Fixed Assets** (buildings, vehicles, computers, equipment or machinery). Capital Expenditures are typically recorded on the **Balance Sheet** at cost.

Capitalize. Records the outlay of capital as additions to **Long Term Assets** on the **Balance Sheet** rather than recording it as an **Expense** on the **Income Statement**. This allows a business to not only accurately reflect the true nature of the expenditure, but also to spread out the cost of the **Long Term Asset** over its estimated useful life using **Depreciation**.

Cash. Line item under **Current Assets** in the **Asset** section of a **Balance Sheet** representing amounts held in currency or readily available bank deposits (including petty cash, checking accounts, and money market funds).

Cash Equivalents. Line item under **Current Assets** in the **Asset** section of a **Balance Sheet** representing the value of **Assets** held in short- term certificates of deposit or other instruments that can be converted into **Cash** immediately.

Cash Flow from Financing Activities. See **Financing Cash Flow**.

Cash Flow from Investing Activities. See **Investing Cash Flow**.

Cash Flow from Operating Activities. See **Operating Cash Flow**.

Cash Flow. All Cash generated (added to) and all cash used (subtracted from) the business' holdings of **Cash** during a given Time Period.

Cash-Flow Statement, Direct. One of the three key **Financial Statements** used to indicate a business' financial performance. All **Cash** generated and used during a specific Time Period in a business are summarized and categorized for all financial transactions. Cash is always categorized as either **Operating, Investing** or **Financing** during a given time period.

Cash-Flow Statement, Indirect. A common alternative to a **Direct Cash Flow Statement**. An **Indirect Cash Flow Statement** has many similarities to a **Direct Cash Flow Statement**, but instead of focusing exclusively on the total **Cash** inflows and outflows of a business, it reconciles the reported **Net Income** from the **Income Statement** to **Cash** generated by operations (**Operating Cash Flow**) according to **Accrual** accounting rules. An **Indirect Cash Flow Statement** is only concerned with **Operating Cash Flow** and typically does not provide any information about **Investing** or **Financing Cash Flows**.

Change in Cash. Line item on a **Cash Flow Statement** indicating a business' net increase or decrease in total **Cash** during a given time period.

Collections. Line item under the **Operating Cash** section in a **Direct Cash Flow Statement**. The amount reported represents actual **Cash** received from customers during a given Time Period. The business generated the Cash through its operations by converting **Sales** or **Accounts Receivable** into **Cash**.

Common Stock. Line item under the **Equity** section of a **Balance Sheet**. Common Stock is a security that represents ownership in a business. The amount invested by a business' owners or shareholders is reported in the Equity section of the Balance Sheet. **Common Stock** is usually a term used with corporations and not partnerships or other forms of business entity structures. Also known as "**Shares**" in some countries.

Cost of Goods Sold (COGS). Line item on an **Income Statement** showing costs attributable to the production of all goods sold by a business during a given Time Period. **COGS** in a manufacturing company typically includes the cost of materials used in creating or purchasing the product (**Inventory**) along with the direct labor costs involved in producing the product. A portion of manufacturing overhead is also attributed to the products sold. **COGS** in a wholesale or retail business usually includes the cost of products purchased for resale plus any shipping charges associated with acquiring the products, but only for the products sold during the Time Period being reported. In some service based businesses, COGS includes variable costs such as sales commissions.

Cost of Sales, Cost of Services (COS). Line item on the **Income Statement** of many service businesses reporting the costs specifically associated with providing the business' service to customers. Costs categorized as COGS in a service based business are typically variable and not fixed costs. Also known as "**Cost of Goods Sold**".

Current Assets. Line item under the **Asset** section of a **Balance Sheet** listing **Assets** that are expected to be converted into cash in one year or less. **Current Assets** include **Cash, Cash Equivalents, Accounts Receivable, Inventory,** and other **Current Assets** (such as prepaid expenses and deposits).

Current Liabilities. Line item under the **Liabilities** section of a **Balance Sheet** indicating **Liabilities** that are expected to be settled and paid (reduce **Cash**) within one year.

Current Ratio. **Current Assets** divided by **Current Liabilities**. A common measure of a company's ability to pay short-term obligations. This ratio is especially important to creditors (banks) because it is an indication of a business' liquidity.

Days Sales Outstanding (DSO). See **Receivable Days**.

Debt. Money borrowed by a business from another party. This amount is reported in the **Liabilities** section of the **Balance Sheet**.

Debt-to-Equity Ratio. Total **Liabilities** divided by total **Equity**. A high Debt-to-Equity Ratio means the business is heavily relying on Debt financing to fund its growth and/or its operations and thus, if more risky. This is an important ratio to lenders.

Depreciation, Accumulated. Line item under the **Asset** section of a **Balance Sheet** reflecting the total amount the business has expensed its Fixed Assets through Depreciation from the date the Fixed Assets were placed in service to the date of the Balance Sheet. Prior Depreciation for Assets the business no longer owns are not included. **Gross Fixed Assets** minus **Accumulated Depreciation** equals **Net Fixed Assets**.

Depreciation. Line item on an **Income Statement**. A method used to **Expense** the Fixed Assets over the estimated useful life of those **Assets**. The amount theoretically reflects the declining value of a business' **Fixed Assets** during the Time Period covered by the Income Statement. A **Fixed Asset** is

Depreciated (Expensed) over its useful life (at which point the value of the Fixed Asset on the **Balance Sheet** is zero) according to the life assigned by various accounting rules and government regulations. Since **Depreciation** is an Expense, it reduces **Earnings**, but it is a non-cash expense and therefore does not impact **Cash** or **Cash Flow**.

Dividends. Line item under the **Financing** section of a **Cash Flow Statement** indicating the portion of a business' **Earnings** distributed to its shareholders. **Dividends** reduce the amount of **Earnings** retained in the business and therefore reduces **Retained Earnings**, which are reported in the Equity section of the **Balance Sheet**.

EBITDA. Acronym for **Earnings before Interest, Taxes, Depreciation and Amortization**. An Earnings subtotal derived from the **Income Statement** that typically refers to the **Operating Income** of the business. **EBITDA** is basically Net Income with Interest, Taxes, Depreciation and Amortization added back. It is used to compare profitability between businesses since it removes the effects of financing and capitalization decisions.

EBT. Acronym for **Earnings Before Taxes**. An Earnings subtotal derived from the **Income Statement**.

Equity. One of three major components of a **Balance Sheet** indicating the amount of the funds contributed by the owners (shareholders) plus the business' **Retained Earnings**. According to the basic accounting equation, **Equity** equals **Assets** minus **Liabilities**.

Equity, Average. The average value of a business' **Equity** during a given period, calculated by adding **Equity** at the beginning of that Time Period and **Equity** at the end of the Time Period and dividing by two.

Equity Multiplier. See **Assets-to-Equity Ratio**.

Earnings. Earnings usually refers to **Net Income** or **Profits** but may also refer to pretax income (**EBT**) or **EBITDA**.

Earnings, Growth Rate. The Growth Rate of **Earnings** measures the growth of **Earnings** between specified Time Periods and is expressed as a percentage.

Efficiency Score. A monetary amount that shows how much potential **Net Income** and **Operating Cash** the business failed to realize because of management's inability to control **Expenses** (in the selected **Income Statement** categories) to the Best in Class levels during a Time Period(s).

Effectiveness Score. A monetary amount that shows how much potential **Operating Cash** the business failed to realize because of management's inability to control **Receivables, Inventory, and Payables** to the Best in Class levels during a Time Period(s).

Expenses. The operating costs of delivering the **Sales** or **Revenue** as recorded on an **Income Statement**, including Marketing, Selling, General, and Administrative Expenses incurred by a business during

the Time Period. An **Expense** is any cost which reduces **Earnings**, including **Operating Expenses**, **Depreciation**, **Amortization**, **Interest** and **Taxes**.

Financial Leverage. See **Assets-to-Equity Ratio**.

Financial Statements. Financial transaction records which report the financial activities of a business during a specific Time Period and include a **Balance Sheet**, **Income Statement** and **Cash Flow Statement**.

Financing Cash Flow (FCF). One of three major categories found on a **Cash Flow Statement**. Also known as **Cash Flow from Financing Activities**. Financing Cash Flow measures the in-flow and out-flow of Cash between a business and its owners (purchase or sale of Stock and Dividends) and the business and its creditors (borrowing or repayment of the principle portion of a loan).

Finished Goods. Portion of a business' **Inventory** that is complete and does not require additional labor or materials to be ready for sale.

Fixed Asset Investment. A line item under the **Investing Cash Flow** section of a **Cash Flow Statement** reflecting the flow of **Cash** (increase or decrease) due to the purchase or sale of **Fixed Assets**. Also known as a **Capital Expenditure**.

Free Cash Flow. Operating Cash Flow minus **Fixed Asset Investment**. **Free Cash Flow** is the amount of net **Cash** the business generates from Operations less the amount of Cash used for **Investment Cash Flow** (purchase of **Fixed Assets** or **Capital Expenditures**). Ideally a business would have positive **Free Cash Flow** because the business is able to self fund without 3rd party capital and because the business has generated excess cash which can either be reinvested into the business, repay debts or distributed to shareholders (owners) through dividends.

General and Administrative (G&A). A section on an **Income Statement** reporting operating expenses or costs related to the day to day overhead of a business (such as office rent, office utilities and salaries of office personnel) and not directly related to COGS , COS, Marketing or Sales.

Generally Accepted Accounting Principles (GAAP). Code of rules outlining accounting principles, standards and procedures followed by businesses and Certified Public Accountants (CPAs or in some countries known as Chartered Public Accountants) in the compiling and auditing of a business' **Financial Statements**.

Goodwill. Line item in the **Asset** section of the **Balance Sheet** indicating one type of **Intangible Asset**. **Goodwill** occurs when one business acquires another business. If the acquiring business pays more than the value of the selling business' Net Assets, the net difference is recorded as **Goodwill**. **Goodwill** is considered to be the amount the buyer/acquirer is paying for client lists, covenants not to compete, processes, technology, brand name and other intangible items of value. **Goodwill** must be **Amortized** over its estimated future life.

Gross Fixed Assets. Line item in the **Asset** section of a **Balance Sheet** reflecting the historical cost or purchase price of the **Fixed Assets** purchased by the business.

Gross Profit. Line item on an **Income Statement** indicating the difference between **Sales-Revenue** and **Cost of Goods Sold**.

Income Statement. One of the three key accounting **Financial Statements** used to indicate a business' financial performance. An **Income Statement** provides a summary of a business' **Sales** and **Expenses** operating activities. The difference between **Sales** and **Expenses** is reported as **Net Income** (Also known as **Profits** or **Earnings**. Also known as Profit-and-Loss Statement, P&L, Statement of Operations, and Statement of Earnings. In **Accrual Accounting**, an **Income Statement** is the theory of how much a business' **Sales** exceed the **Expenses**.

Income Taxes. An amount levied or taxed by various local, state and federal governments. The Income Tax amount paid is based on the **Earnings** generated by the business during the course of a certain Time Period.

Inventory. Line item in the **Asset** section of a **Balance Sheet** indicating the cost of **Raw Materials**, **Work in Process**, and completely **Finished Goods** that are ready for sale. **Inventory** can be valued according to various accounting principles (First in First Out or Last in First Out or Weighted Average). In some countries, **Inventory** is called **Stock**.

Inventory, Average. Average value of a business' **Inventory** during a given Time Period, calculated by adding the beginning **Inventory amount** and ending **Inventory** amount and dividing by two.

Inventory Days. Average number of days in a given Time Period it take a business to turn (or use) its inventory (including **Raw Materials** and **Work In Progress**) into **Sales**. (This definition is simplified for ease of use.) **Inventory Days** is equal to the number of days in the Time Period divided by **Inventory Turnover**.

Inventory Paid. Line item on a **Cash Flow Statement** indicating amount of **Cash** spent to purchase **Inventory**.

Inventory Turnover. A measurement showing how many times a business' **Inventory** is sold and replenished over a specific Time Period. **Inventory Turnover** for a given Time Period is calculated by dividing the **Cost of Goods Sold** for that Time Period by **Average Inventory**.

Investing Cash Flow (ICF). One of three major categories found on a **Cash Flow Statement**. Also known as **Cash Flow from Investing Activities**. Investing Cash Flow measures the changes in a business' **Cash** position as a result of the business' investing activities, which include the purchase or sale of **Fixed Assets** and other Investments.

Liabilities. One of the three major sections of the **Balance Sheet**. **Liabilities** (often referred to as "Debt") are claims on a business' **Assets** held by creditors. **Liabilities** are amounts owed by the business to the business' creditors.

Liquidity. A business' ability to pay its **Current Liabilities** with **Current Assets**.

Marketing, Selling, General, and Administrative (MSG&A). A section on the **Income Statement** reflecting **Expenses** not specifically related to providing goods or services and therefore not included in **Cost of Goods Sold**. Also known as **Overhead**.

Matching Principle. This **Accrual Accounting** rule states that financial transactions are recorded for accounting purposes in the time period in which something is earned, owed or used. This principle states that expenses incurred are matched to the revenue event and recorded in the same Time Period. The critical distinction is the differentiation between **Accrual** and cash accounting. In cash accounting, **Revenues** and **Expenses** are not recognized until **Cash** actually changes hands. In **Accrual Accounting**, **Expenses** and **Sales** are recorded on an **Income Statement** at the time when the transaction occurred instead of when **Cash** is received. The **Accrual** method provides an accurate picture of a business's current financial position.

Net Cash provided by Financing Activities. See **Financing Cash Flow**.

Net Cash provided by Investing Activities. See **Investing Cash Flow**.

Net Cash provided by Operating Activities. See **Operating Cash Flow**.

Net Fixed Assets. Line item in the **Asset** section of a **Balance Sheet** representing **Gross Fixed Assets** minus accumulated **Depreciation**.

Net Income. Line item on an **Income Statement** indicating a business' total Earnings. It is the difference between **Sales** and all **Expenses**, including noncash charges such as **Depreciation and Amortization**. One of the three key measures of a business' performance. Also known as **Net Profit**, **Earnings** or **The Bottom Line**.

Notes Receivable-Trade. Line item in the **Asset** section of a **Balance Sheet** indicating outstanding principal on interest-bearing loans owed to a business. These loans were incurred as a result of the sale of products or services.

Operating Cash Flow (OCF). One of the three major sections of a **Cash Flow Statement**. Also known as **Cash Flow from Operating Activities**. One of the three key measures of a business' performance. Operating Cash Flow is the Cash a business generates and uses as a result of running its business. **Operating Cash Flow** excludes inflows or outflows of Cash related to **Fixed Asset Investment**, Other Investments, borrowing and payback of **Loans**, purchase or sale of **Owner's Equity**, **Dividends** and Shareholder **Distributions**.

Operating Cash Flow, Growth Rate. The Growth Rate of **Operating Cash Flow** measures the growth of Cash Flow from Operations between specified Time Periods and is expressed as a percentage.

Operating Income. Line item on many business' **Income Statements**. **Operating Income** is **Sales** minus **Cost of Goods Sold** minus **Marketing, Selling, General and Administrative Expenses**. Also known as

Operating Profit. (Caution: This term may be defined in other ways by other financial professionals and often is used synonymously with **EBITDA**.)

Operating Profit. See **Operating Income**.

Owners' Equity. See **Equity**.

P&L. See **Income Statement**.

Paid-in Capital. Line item in the **Equity** section on a **Balance Sheet** indicating amounts invested (paid-in) by investors (owners). **Paid-in Capital** is funds raised by the business from selling **Equity** or ownership of the business.

Payable Days. Measure of average amount of time a business takes to pay outstanding **Accounts Payable** during a given Time Period.

Payables. See **Accounts Payable**.

Profit after Tax. See **Net Income**.

Profit Margin. See **Return on Sales (ROS)**.

Profit. See **Net Income; Operating Income; EBITDA; Gross Profit**.

Profit-and-Loss Statement. See **Income Statement**.

Property, Plant, and Equipment. See **Assets, Fixed**.

Quick Ratio. A measure of a company's short-term **Liquidity** and ability to meet its short-term obligations. The Quick Ratio is calculated by summing a business' **Cash** and **Accounts Receivable**, then dividing by the sum of **Accounts Payable** and **Other Current Liabilities**.

Raw Materials. Portion of a business' **Inventory** consisting of unprocessed materials that is needed to produce **Finished Goods**.

Receivable Days. Measure of average number of days a business requires to collect the cash owed by customers after a **Sale** is made. All **Revenue** earned but not collected at the time of sale is recorded in **Accounts Receivable**. **Receivable Days** is calculated by dividing the number of days in the Time Period by **Receivable Turnover**.

Receivable Turnover. A measurement of how long it takes for a business to "turn over" its **Accounts Receivable**. The measurement is a reflection of how effective a business is at extending credit as well as collecting its debts. **Receivable Turnover** for a given Time Period is calculated by dividing **Sales** for that Time Period by **Average Receivables**.

Receivables, Average. The average value of a business' **Accounts Receivable** during a given Time Period, calculated by adding **Accounts Receivable** at the beginning of that Time Period to the **Accounts Receivable** amount at the end of the Time Period and dividing by two.

Receivables. See **Accounts Receivable**.

Retained Earnings. Line item in the **Equity** section of a **Balance Sheet** reporting accumulated **Net Income** earned (since the beginning of a business' life) which has not been paid out in **Dividends** or **Distributions**.

Return on Assets (ROA). **Net Income** divided by **Average Assets**. One of the three key measures of a business' performance, **Return on Assets** measures a business' *effectiveness* in generating **Earnings** from its **Assets**.

Return on Equity (ROE). **Net Income** divided by **Average Equity**. **Return on Equity** measures a business' effectiveness in generating **Earnings** from the total Equity category, as reported on the **Balance Sheet**.

Return on Sales (ROS). **Net Income** divided by **Sales**. **Return on Sales** measures a business' operational efficiency in generating **Profit** from its **Sales**. Also known as Net Margin, Net Profit Margin, or **Profit Margin**.

Revenue. See **Sales**.

Sales. First line item on an **Income Statement**. Indicates the total monetary value of goods and services sold to customers during a given Time Period. Also known as **Revenue**. In some countries, **Sales** are called "**Turnover**".

Sales, Growth Rate. The Growth Rate of **Sales** measures the amount of **Sales** growth from one Time Period to another Time Period expressed as a percentage.

Shareholder's Equity. See "**Equity**".

Shares. In some countries, **Common Stock** in the **Equity** section of the **Balance Sheet** is referred to as **Shares**.

Solvency. Measure of a business' ability to function as an ongoing business while being able to meet its long-term expenses and obligations as well as fund long-term growth. One measure of solvency is whether **Assets** exceed **Liabilities**. Another measure is whether or not a business can pay its bills when they come due.

Statement of Earnings. See **Income Statement**.

Statement of Financial Position. See **Balance Sheet**.

Statement of Operations. See **Income Statement**.

Stock. See **Common Stock**. (In some countries, “Stock” is referring to **Inventory**.)

Taxes Payable. Line item in the **Liabilities** section on a **Balance Sheet** indicating amount owed to governments for **Income Taxes**.

Turnover. In some countries, **Sales** or **Revenue** is known as “Turnover”.

Work in Process (WIP). Portion of a business’ **Inventory** consisting of partially completed goods that are somewhere in the manufacturing process and are not ready for sale. **WIP** (Pronounced as “Whip”) includes material, direct labor, and manufacturing overhead (raw materials are excluded).